D04 · Category Strategy & Spend Analytics

02 · Kraljic matrix & category prioritization

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1 WHAT IT IS

The Kraljic matrix is the foundational 2x2 segmentation of procurement categories by supply risk (low / high) and profit impact (low / high), producing four quadrants — strategic, leverage, bottleneck, and routine — each with a distinct strategic playbook. It is the upstream decision that determines where procurement invests its attention and where it does not.

2 WHY IT MATTERS

The Kraljic matrix is the most cited and least correctly applied framework in procurement. **(Kraljic, 1983 — Harvard Business Review)**. Its enduring relevance comes from a single insight: that categories are not equal, and treating them as if they were is the structural failure that wastes most procurement capacity. **The asymmetry is severe: a strategic category that is managed as routine loses the relationship value; a routine category managed as strategic burns expensive procurement hours that should be spent elsewhere**. The framework has been extended and critiqued for forty years **(Caniëls & Gelderman, 2005 — Journal of Purchasing & Supply Management)**, but the core insight survives: segmentation must precede engagement, and the segmentation criteria must reflect both supply market reality and internal business impact.

3 HOW IT IS DONE

1. **Define profit impact rigorously — not just as spend size.** Profit impact combines spend volume with margin sensitivity, criticality to revenue, and downstream cost cascade. A small-spend category that drives a critical product feature has higher profit impact than a large-spend category buying commodity overhead.
2. **Define supply risk with three dimensions — concentration, switching cost, and supply market volatility.** Single-source dependency, regulatory specificity, or geopolitically exposed supply all elevate supply risk. The risk score is not the supplier's risk — it is the market structure risk for the category.
3. **Map every category to a quadrant — and resist the temptation to put everything in strategic.** A typical taxonomy of 80–120 categories will have 5–10 strategic, 20–30 leverage, 10–20 bottleneck, and the rest routine. If everything looks strategic, the segmentation criteria are too soft.
4. **Apply the quadrant-specific playbook.** Strategic categories get partnership development, joint roadmaps, executive sponsorship. Leverage categories get aggressive cost management and supplier competition. Bottleneck categories get risk mitigation and dual-sourcing. Routine categories get e-procurement automation. The playbook is the value of the segmentation.
5. **Allocate procurement headcount by quadrant.** If 70% of category management hours are on routine spend, the segmentation is being ignored operationally. The headcount allocation should mirror the quadrant priority — strategic categories warrant senior category managers; routine spend is automated, not managed.
6. **Re-segment annually — categories migrate quadrants.** A commodity category becomes bottleneck when the supplier base consolidates; a strategic category becomes leverage when the technology commoditizes. Annual re-segmentation prevents strategy drift; without it, the Kraljic matrix becomes a historical artifact rather than an operating tool.

WORKED EXAMPLE — ILLUSTRATIVE

An automotive Tier 1 with $480M annual procurement spend categorizes 47 spend categories using a recalibrated Kraljic framework. The result: **6 strategic categories ($340M, 71% of spend)** including engineered components, electronics, and PCBAs; **9 leverage categories ($72M)** mainly raw materials and standard fasteners; **8 bottleneck categories ($38M)** including specialty chemicals and a regulated metal alloy; **24 routine categories ($30M)** covering MRO, IT consumables and indirect services. The reallocation of category management headcount follows: 6 senior CMs dedicated to the strategic categories, 4 mid-level CMs for leverage and bottleneck, and the 24 routine categories migrate to e-procurement self-service over the following 12 months. **Procurement capacity freed by automating routine: 4.2 FTE-equivalent**, redeployed to strategic category management. First-year savings from refocused strategic category work: **$11.6M**, primarily from supplier consolidation in electronics and a joint cost-reduction roadmap on PCBAs.

IN PRACTICE

Define both axes in operational terms

Profit impact must be measurable — cost as % of COGS, margin contribution, strategic value to the product — and supply risk must be decomposed into number of viable suppliers, switching cost, and market concentration. Vague axes produce vague segmentation that does not survive leadership scrutiny.

Apply the quadrant-specific playbook, not a generic one

Strategic categories get joint planning and innovation cadence; leverage gets aggressive competition; bottleneck gets dual sourcing and risk mitigation; routine gets automation. The playbook is the point of the matrix — drawing the quadrants without changing the engagement is decoration.

Allocate procurement headcount by quadrant, not by spend

The default is to staff by dollar volume, which over-invests in leverage and under-invests in strategic. Headcount should follow where structural value is created, not where the largest invoices land — most of the spend lives in leverage, but most of the value lives in strategic.

Re-segment annually, not once

Categories shift quadrants over time: a leverage category becomes bottleneck when capacity tightens; a routine category becomes strategic when a regulation changes. Annual re-segmentation is the discipline that keeps the operating model aligned to reality; a static Kraljic ages into a wrong one.

WHAT YOU WOULD USE

CATEGORY SEGMENTATION / KRALJIC TOOLING

SAP Ariba Category Management / Coupa Sourcing — Native category segmentation within the broader procurement suite, with built-in Kraljic templates and integration to the spend cube — strongest when the operation is already standardized on the suite **(SAP — vendor; Coupa — vendor)**.

GEP, Jaggaer, Ivalua — Specialized procurement platforms with strong category management modules and quadrant visualization — common choices when the operation wants more sophisticated category management than the ERP-bundled options provide **(GEP — vendor; Jaggaer — vendor; Ivalua — vendor)**.

Consulting-led segmentation (Kearney, McKinsey) — When the operation needs a comprehensive category review with knowledge transfer — strong for the initial segmentation, less suited for the ongoing operating discipline.

Excel + Power BI dashboard — For mid-sized operations — the matrix in Excel, the visualization in Power BI, refreshed quarterly. Lower ceiling but immediately deployable; the discipline matters more than the platform.

4 SO WHAT

Treating every category the same is the guaranteed way to mistreat the one that matters most. Define profit impact rigorously, define supply risk in three dimensions, segment honestly into the four quadrants, apply the quadrant-specific playbook, allocate procurement headcount by priority, and re-segment annually. The plants that operate Kraljic as a living discipline buy back procurement capacity from automating the routine and apply it where the structural value lives — in the strategic few.